QUARTERLY MACRO · Q4 2026 · US / GLOBAL

A 5% World

The US 10-year above 5%, and what it does to long-duration equities. Real yields, not inflation fears: an oil shock has re-priced the risk-free rate.

Debjit Mukherjee, IB Independent · Data as of 20 October 2026 · Previous issue: India Import Dependency (India)

US 10-YR	10-YR TIPS (REAL)	FED FUNDS	BRENT, 14 OCT	S&P 500 FWD P/E	IMPLIED ERP
5.12%	2.77%	3.75–4.00%	$126.55	19.0x	4.20%

Executive Summary

The US 10-year Treasury closed at 5.12% on 20 October 2026, at or above 5% on every trading day since 23 September and 112 basis points higher than a year ago. It peaked at 5.31% on 5 October. For most of the coverage universe, the risk-free rate is now the input that moves fair value most.

This is a real-rate move, not an inflation scare. Since the start of the year the 10-year is up 94bp; the 10-year TIPS yield is up 84bp, to 2.77%, while the breakeven (inflation compensation) has moved 10bp, to 2.35%. About 90% of the rise is real yield. The bond market still trusts the 2% target; it is charging more for money.

The cause is an oil shock that turned the Fed. Brent averaged $114 in September and traded at $126–130 in the first half of October (EIA), with Middle East flows through Hormuz constrained. US energy CPI is up 20.4% on the year, taking headline CPI to 3.7% while core is 2.6%. The Fed, which had cut to 3.50–3.75% by December 2025, hiked 25bp to 3.75–4.00% on 16 September, unanimously. Its median dot now sits at 4.1% for both 2026 and 2027, against 3.8% and 3.6% in June. The 2-year at 4.79% prices more than that.

The index is not the problem; single-name duration is. The S&P 500 trades on 19.0x forward earnings, below its five-year average of 19.8x, for an earnings yield of 5.26%, a sliver above the 10-year. That holds only because the Street expects 32.8% EPS growth this year and 16.0% next. On trailing earnings the gap is −1.27 points, below every year-end since 2000. The pressure is concentrated in names on 30–45x earnings, whose earnings yields sit two to three points below the risk-free rate.

India is importing the shock through the rupee and flows. The RBI hiked to 5.50% on 7 October and moved to 'calibrated tightening'. The rupee is at about 95 to the dollar, down 7% on the year while the broad dollar is flat, so the weakness is India-specific: the oil bill plus foreign selling of about ₹3 lakh crore of equities this year.

Desk view. In a 5% world we favour cash-generative, lower-multiple names and those that earn from rates or oil, and stay cautious on high-multiple compounders. No rating changes in this report; three ratings are flagged where macro alone now argues against the call (Amazon BUY, JPMorgan REDUCE, Sun Pharma REDUCE).

The Data

1. The 5% print, in context

The 10-year first closed at 5.00% on 15 September and has held at or above 5.09% every day since 23 September. The real yield is now higher than at the 2023 peak: the 10-year TIPS yield closed October 2023 at 2.46%; it is 2.77%

today and touched 2.95% on 5 October. A real return of almost 3% on a risk-free asset is the hurdle every equity now has to clear.

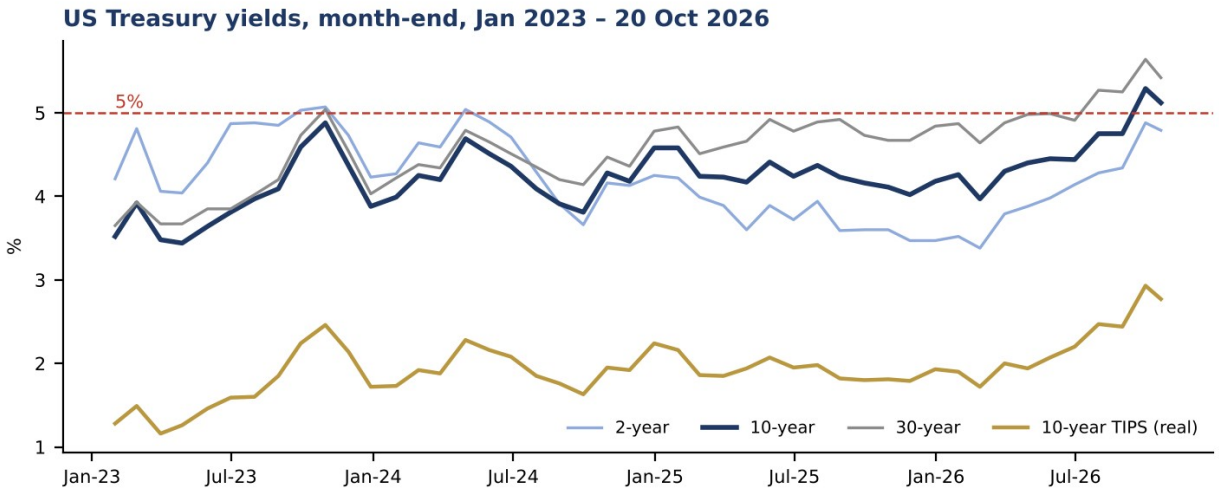


Chart 1. Month-end US Treasury yields. Source: US Treasury daily par yield and real yield curves; cross-checked against Fed H.15 for 13–19 Oct 2026.

2. The curve: a bear flattener at the front, an inversion at the long end

The front end moved most: the 2-year is up 133bp on the year, the 10-year 112bp and the 30-year 84bp. The 2s10s spread narrowed from 54bp to 33bp, while 3-month to 10-year widened from 3bp to 86bp, because bills are anchored by a policy rate that only rose 25bp. The 20-year (5.47%) yields more than the 30-year (5.42%), a sign of thin demand in the middle of the long end.

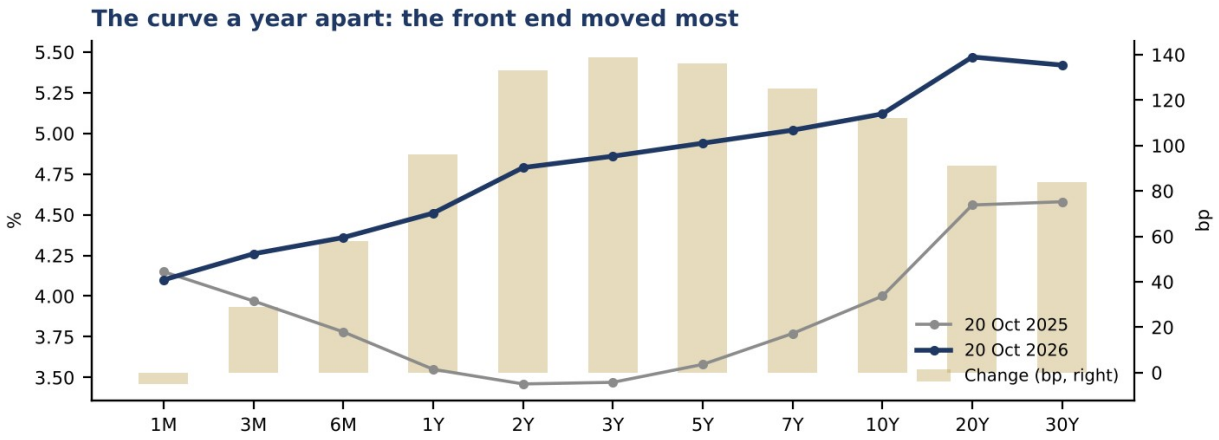


Chart 2. Treasury par curve, 20 Oct 2026 vs 20 Oct 2025, with the change in basis points. Source: US Treasury.

3. Decomposing the 10-year

Window	Nominal 10-yr	Real (TIPS)	Breakeven
31 Dec 2025 → 20 Oct 2026	+94bp	+84bp	+10bp
30 Jun 2026 → 20 Oct 2026	+68bp	+57bp	+11bp
Level, 20 Oct 2026	5.12%	2.77%	2.35%

A second cut through the same number: the Kim-Wright model (Federal Reserve Board) puts the 10-year term premium at 0.99% on 16 October. Strip that out and the expected path of short rates embedded in the 10-year is about 4.1%, almost exactly the Fed's own median for 2026 and 2027. In plain terms, the market believes the Fed's dots and charges about one point on top for holding duration.

4. The Fed turns

The September statement read 'economic activity is expanding at a solid pace' and 'inflation remains elevated', and justified the hike as supporting 'a timelier return to the Committee's 2 percent goal'. Projections moved up across the board: the median funds rate for 2027 rose half a point to 4.1%, eight of eighteen participants put 2027 at 4.375%, and the longer-run neutral rate moved up to 3.2%. Core PCE is projected at 3.4% for 2026. With the effective rate at 3.88%, the 2-year at 4.79% sits 91bp above it: the market is pricing more tightening than the dots, not less.

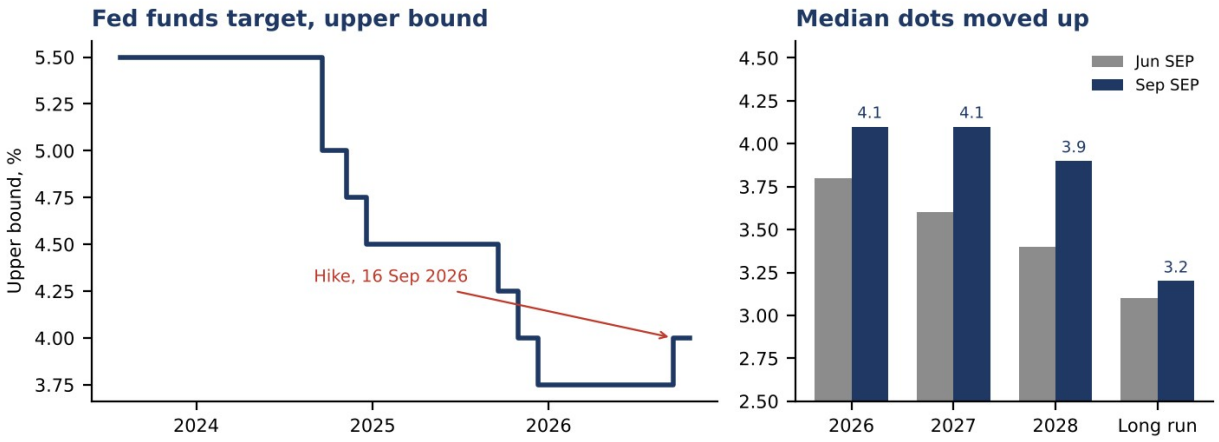


Chart 3. Fed funds upper bound since July 2023, and the median of the June and September 2026 projections. Source: Federal Reserve (rate-change table, FOMC statement 16 Sep 2026, SEP tables).

5. Inflation: energy, not core

Headline CPI peaked at 4.2% in May and was 3.7% in September; core CPI has stayed between 2.4% and 2.9% all year. Energy CPI is running at 12–24% a year. One complication: core PCE, the Fed's preferred gauge, was 3.0% in August, above core CPI (2.4%), which is the reverse of the usual gap; we have not established why. EIA's October outlook has Brent at $105 in the fourth quarter, assuming flows through Hormuz stay constrained.



Chart 4. CPI headline and core, % year on year, and Brent monthly spot. Source: BLS CPI releases; EIA spot prices (monthly averages Apr–Sep; daily range 1–14 Oct).

6. Growth is not the problem

Real GDP grew 2.5% (annualised) in the first quarter and 2.2% in the second. The Fed projects 2.3% for 2026 and unemployment at 4.1%. The IMF's October outlook has world growth at 3.1% in 2026 and 3.4% in 2027, with world

inflation at 4.7% this year. This matters for the read-through: the yield rise is a price-of-money story, not a recession story, so earnings expectations have not yet been cut.

7. Supply

Fiscal item	Value	Source
FY2026 deficit	$2.0 trillion (6.2% of GDP)	CBO Monthly Budget Review, 8 Oct 2026
Net interest on public debt	$1,143bn, +11% y/y	CBO, 8 Oct 2026
Debt held by the public	$32.53tn (+$2.13tn in 12 months)	Treasury, Debt to the Penny, 19 Oct 2026
Debt held by the public / GDP	101% (2026) → 120% (2036)	CBO Budget and Economic Outlook, Feb 2026
Bills, share of marketable debt	20.4% (FY23) → 22.4% (FY26)	Treasury MSPD

Net interest is now the second-largest line in the federal budget after Social Security. Treasury has leaned on bills and said in August it expects to hold coupon auction sizes 'for at least the next several quarters'. The early-November refunding is the next test: any increase in coupon sizes would land on a long end that is already inverted at 20s/30s.

8. The equity yield gap

On FactSet's 16 October numbers the S&P 500 trades on 19.0x forward and 26.0x trailing earnings. The three ways of comparing that with bonds give three different answers, and the difference between them is the point of this report.

Measure	Value	Reading
Forward earnings yield − 10-yr	5.26% − 5.12% = +0.14pp	The market accepts almost no extra earnings yield over a riskless bond
Forward earnings yield − 10-yr real	5.26% − 2.77% = +2.49pp	Better proxy for a risk premium before growth
Trailing earnings yield − 10-yr	3.85% − 5.12% = −1.27pp	Below every year-end since 2000 (2001 low: −1.20pp)
Damodaran implied ERP (1 Oct)	4.20% vs 2000–25 average 4.81%	About 60bp below average; well above 2000's 2.87%
Implied expected equity return	4.20% + 5.24% ≈ 9.4%	Nominal, at the 1 October 10-yr

Reconciling the forward and trailing numbers is simple: forward earnings of about $408 for the index already assume that 2026 earnings grow 32.8% and 2027 another 16.0%. If that delivers, equities are fairly priced against a 5% bond. If it does not, the yield gap goes negative with no further move in yields. The risk to equities is an earnings miss, not the yield level on its own.

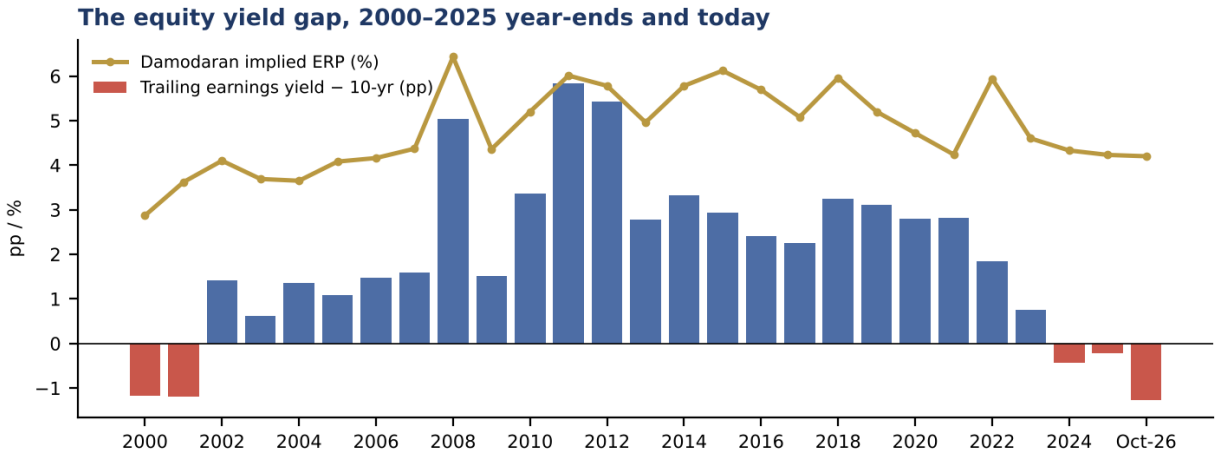


Chart 5. S&P 500 trailing earnings yield minus the 10-year T-bond (bars) and Damodaran's implied equity risk premium (line), year-ends 2000–2025 and October 2026. Source: Damodaran (histimpl, Jan 2026; implied ERP 1 Oct 2026); FactSet Earnings Insight 16 Oct 2026; US Treasury. The current point mixes FactSet's trailing EPS with Damodaran's series and is directional.

9. Duration, in one rule of thumb

For a stock priced as a growing perpetuity, a 1-point rise in the discount rate cuts the price by roughly its P/E multiplied by 1% (ignoring payout). A 25bp rise is therefore worth about −4.75% for the index at 19x, about −8% for a stock on 32x (Eli Lilly, on our stage-one numbers) and about −11% for one on 44x (Costco, on our published note). This is an approximation, not a model output, but it explains why the same macro move is a footnote for an index investor and the whole story for owners of compounders.

10. The India link

Indicator	Latest	Year ago / change	Source
USD/INR	94.96 (16 Oct)	87.99 → rupee −7.3%	Fed H.10; FBIL 94.77 (19 Oct)
Broad dollar index	121.40 (16 Oct)	121.12 → +0.2%	Fed H.10
RBI repo rate	5.50% (7 Oct)	+25bp; stance 'calibrated tightening'	RBI MPC resolution
India 10-yr G-sec	7.40% (19 Oct)	US–India spread −2.28pp	RBI market rates
FPI net equity, CY2026 YTD	≈ −₹3.04 lakh crore	Sep −₹35,861 cr; Oct to 12th −₹47,417 cr	NSDL, as reported by FPJ / Angel One

The rupee has fallen 7% against the dollar while the dollar itself is flat against a broad basket. That isolates the cause: an oil-import bill priced at $114–130 Brent, and foreign investors selling about ₹3 lakh crore of Indian equities this year. The RBI's projections put CPI at 6.0% in the third quarter of FY27 and growth at 7.1% for the year. Foreign flows are reported here from secondary summaries of NSDL data; the NSDL site could not be read directly.

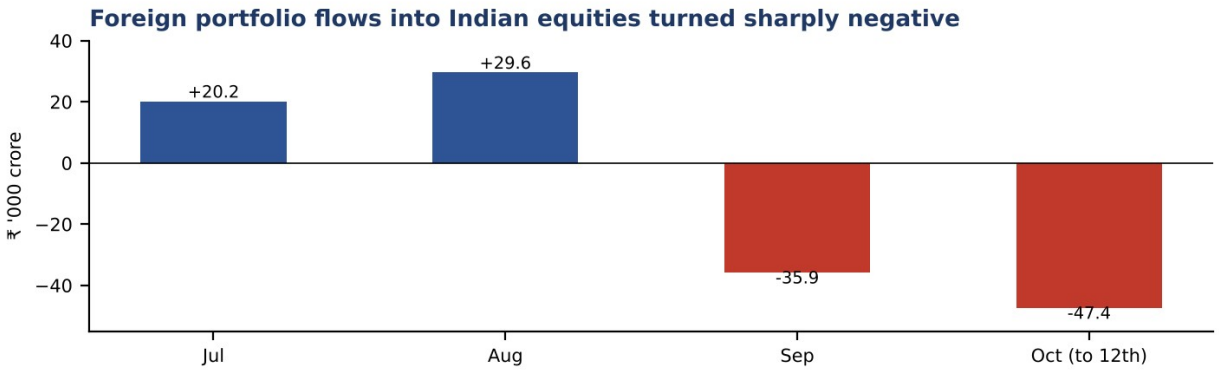


Chart 6. Net foreign portfolio investment into Indian equities, ₹ thousand crore, July–October 2026 (October to the 12th). Source: NSDL data as reported by Free Press Journal (11 Oct) and Angel One (13 Oct).

Coverage Implications

Each line asks one question: does this macro backdrop support or pressure the current rating, and through which mechanism? Ratings are the desk's published calls. Macro alone never changes a rating; where it argues against one, we flag it for the next refresh.

Name	Desk call	Macro effect	Mechanism
Apple	HOLD $302	Neutral	Moderate multiple; buybacks fund at a higher opportunity cost; dollar flat, so little FX drag
Amazon	BUY $275	Pressures ⚑	Long-dated cash flows (AWS capex payback) discounted at a 2.8% real rate; consumer squeezed by fuel
Alphabet	HOLD $384	Mixed	Duration on AI capex; advertising is cyclical but growth is intact
Microsoft	HOLD $488	Neutral	Duration offset by a large cash pile now earning 4–5%
Nvidia	REDUCE $200	Supports	Index valuation depends on +32.8% / +16.0% EPS growth; a high-multiple name is most exposed to a miss
Tesla	HOLD $297	Pressures	Highest duration in coverage; auto-loan rates follow the 2–5-yr (+133–136bp); oil helps EV demand at the margin
Visa	HOLD $355	Supports	Nominal spending rises with 3.7% CPI; no balance-sheet rate risk
Coca-Cola	HOLD $86	Pressures	Bond proxy: staples on 22.4x forward earn about 4.5% against a 5.12% risk-free rate; oil lifts costs

Name	Desk call	Macro effect	Mechanism
JPMorgan	REDUCE $323	Pressures ⚑	Supports earnings: hikes and a 3m10y at +86bp lift asset yields, so macro argues against the REDUCE; risk is AFS marks and credit
Costco	HOLD $977	Pressures	About 44x forward: earnings yield 2.85pp below the 10-yr; +25bp ≈ −11%; defensive traffic is the offset
Eli Lilly	In build	Pressures	About 32x: earnings yield about 2pp below the 10-yr; build with a risk-free rate of at least 5.1%
Exxon Mobil	In research	Supports	Brent averaged $114 in September; EIA sees $105 in Q4; energy is the cheapest sector at 13.3x

Name	Desk call	Macro effect	Mechanism
TCS	BUY ₹2,502	Supports	Rupee −7% lifts rupee revenue and margins; US demand intact at 2.2–2.5% GDP
Infosys	ACCUMULATE ₹1,190	Supports	Same FX tailwind; foreign selling weighs on the multiple
HDFC Bank	HOLD ₹737	Mixed	Repo hike reprices external-benchmark loans up, deposits follow; largest foreign holding, so flows hurt most
ICICI Bank	REDUCE ₹1,199	Mixed	As HDFC Bank, with a somewhat stronger deposit franchise
Reliance	HOLD ₹1,361	Mixed	Refining margins benefit in a supply shock; crude cost and the rupee raise working capital
HUL	HOLD ₹2,190	Pressures	Crude-linked inputs (packaging, LAB) and the rupee; rural demand hit by fuel; high multiple
Bajaj Finance	REDUCE ₹1,007	Pressures	Wholesale funding reprices with the repo and a 7.40% G-sec; high multiple (consistent with REDUCE)
Maruti Suzuki	REDUCE ₹12,978	Pressures	Fuel prices, auto-loan rates and imported components at ₹95 (consistent with REDUCE)
Sun Pharma	REDUCE ₹1,503	Supports ⚑	US revenue in dollars and a 7% weaker rupee argue against the REDUCE; the Organon leverage is unaffected
L&T	REDUCE ₹2,956	Mixed	West Asia order book exposed to the conflict; oil-funded Gulf capex is the offset
ITC	In research	Neutral	Low-duration cash generator; FMCG input costs a modest drag

Flags for the next refresh (no rating changed): Amazon BUY and Sun Pharma REDUCE, where macro works against the direction of the call, and JPMorgan REDUCE, where higher-for-longer supports the earnings the call is betting against. Costco, Tesla, Coca-Cola and HUL are HOLDs under downward pressure; Nvidia, Bajaj Finance and Maruti are REDUCEs the macro is consistent with.

Key Risks to This View

What would bring yields down

- A ceasefire or a reopening of Hormuz flows takes Brent toward EIA's $105 path or below; energy CPI rolls over as March–May 2026 drops out of the base in spring 2027, and the extra hike priced at the front end comes out.
- Growth cracks: unemployment rises through the Fed's 4.1%, or the Q3 earnings season misses the 29% blended growth now expected; a flight to quality steepens the curve from the front.
- Treasury shifts further to bills or expands buybacks, and Fed bill purchases compress the term premium.
- A real yield near 3% (above the 2023 peak) draws in long-duration buyers on valuation alone.

What would push them higher

- Second-round inflation: core PCE is already 3.0% against a 3.4% projection for the year; if core CPI moves above 3%, the dots drift toward the 4.375% cluster for 2027.
- The November refunding raises coupon sizes, or the FY2027 deficit runs above $2 trillion; with net interest at $1.14 trillion the debt arithmetic feeds on itself.
- The term premium (about 1.0pp on Kim-Wright) rebuilds toward historical highs; the 20s/30s inversion says long-end demand is already fragile.
- Brent holds above $125, or energy infrastructure is attacked again (EIA flags the East-West pipeline).
- Other central banks tighten (the RBI already has), reducing foreign demand for Treasuries.

The equity-specific risk is the one that matters most for the coverage: the index looks fairly priced only because forward earnings assume +32.8% this year and +16.0% next. Cut 2027 and the forward yield gap turns negative without yields moving at all.

What to Watch Before the Next Refresh

Date	Event	Why it matters
29 Oct 2026	September PCE (BEA)	Tests whether core PCE stays above core CPI
Late Oct / Nov 2026	FOMC meeting (date to confirm)	Whether the second hike in the median arrives in 2026
Early Nov 2026	Treasury quarterly refunding	Coupon sizes and the term premium
1 Nov 2026	Damodaran implied ERP update	Whether the risk premium compresses further
10 Nov 2026	October CPI (BLS)	Energy pass-through into core
8–9 Dec 2026	FOMC with new projections	The 2027 path

Disclaimer

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